FINANCIAL DILIGENCE SUPPORT - RECORD 016

Helioscope Robotics, Inc. - diligence file reference FINANCE_SUPPORT-016

1. Preparation basis, source systems and control observations

The reported figures are the output of a monthly close process with identifiable weaknesses, and this section describes that process rather than assuming it operates. In detail,, post-cut-off trading was reviewed only to July 2026 and only for evidence bearing on balances at the cut-off; it is not a basis for any forward projection. As to the facts,, amounts are stated in United States dollars, with Canadian dollar balances of the Ontario deployment subsidiary translated at month-end rates taken from the company's own revaluation report.

At the cut-off,, where a normalization depends on an assumption about future negotiation, the reviewer declines the adjustment and discloses the exposure instead. On the balance,, because no audited financial statements exist for any period in scope, every opening balance rests on management's own records and on the review engagement's limited procedures. From the extract,, two months of Ontario subsidiary bank statements were not provided, so cash proof coverage for that entity is materially lower than for the parent and no projection was attempted across the gap. JE-25-0822 is a self-approved entry of $186,400 posted on 2025-08-29. On reperformance,, the severance accrual for the departing operations leader was prepared and approved by the same person. On this self-approved entry, the reviewer asked for the underlying system report and worked from that rather than from the extract provided. This self-approved entry was prepared by R. Calloway and approved by R. Calloway. The separation agreement supports the amount; the control exception is reported without a monetary adjustment.

Taken alone,, the fixed asset register has not been reconciled to the general ledger, so depreciation within the earnings measure cannot be tied to asset-level records. As matters stand,, fieldwork ran from 2026-06-18 to 2026-07-16 with two site visits to Fremont and one remote session with the Ontario team, and all inquiry responses are recorded with the name of the respondent. In the file,, where an exception is identified, the reviewer states the population, the value tested, the coverage achieved and the projected effect before proposing any adjustment. JE-25-0142 is a round-dollar entry of $42,000 posted on 2025-02-28. On the papers,, a round accrual for recruiting fees was posted before the search firm's invoice arrived. On this round-dollar entry, the document inspected is dated before the cut-off, which is what makes the period attribution defensible. This round-dollar entry was prepared by L. Brantley and approved by M. Okonjo. The invoice differed by a small amount and the accrual was trued up in March 2025; no further action required.

On inspection,, management represented that installation activity alone does not create a state filing obligation, relying on an adviser's opinion whose scope has not yet been compared with the states involved. By reference,, reconciliation differences are reported at the amount found, including small residuals, rather than being described as immaterial and omitted. Taken alone,, post-cut-off trading was reviewed only to July 2026 and only for evidence bearing on balances at the cut-off; it is not a basis for any forward projection. In detail, the reviewer selected JE-25-0311, posted 2025-03-31 by M. Okonjo approved by T. Vasquez, for $213,800 and classified as a capitalization entry. From the extract,, deployment crew labour was moved from cost of sales to internal-use software in a single quarter-end entry. The reviewer reversed the entry in its analysis; management has since changed the coding rule at source. On this capitalization entry, the supporting analysis was rebuilt from source rather than reviewed, because the calculation drives an adjustment.

On the evidence,, segregation between preparer and approver was not enforced until the November 2024 workflow change, and self-approved entries appear on both sides of that date. In this stream,, certain amounts described here as agreed were agreed with management during fieldwork and have not been re-presented in a revised set of financial statements. Taken alone,, management represented that the capitalized configuration work created a lasting integration component; the ticket detail supports this for part of the amount only. JE-25-1046 is a round-dollar entry of $57,450 posted on 2025-10-31. On this point,, a round software subscription accrual was posted while two overlapping licences were being reconciled. On this round-dollar entry, the item is presented gross so that a reader can rebuild the measure from reported results. This round-dollar entry was prepared by T. Vasquez and approved by M. Okonjo. The accrual was replaced by invoiced amounts in November 2025 with a small residual credit.

On this point,, period attribution is decided from the document that fixes the service period, not from the invoice date, wherever the two differ. By reference,, management represented that the retention-contingent portion of the deferred consideration is genuinely contingent, and the retention agreements have only partly been provided. In this stream,, the

reviewer reperformed rather than reviewed management's own calculations wherever the calculation drives an adjustment. JE-26-0402 is a capitalization entry of $61,400 posted on 2026-04-30. On reperformance,, cloud configuration work was capitalized on the basis of a summary description rather than ticket-level evidence. On this capitalization entry, the reviewer confirmed the counterparty is not a related party before accepting the document at face value. This capitalization entry was prepared by L. Brantley and approved by M. Okonjo. Ticket-level evidence supported only part of the amount; the balance was reclassified to operating expense.

2. Proof of cash and the unusual items within it

Unapplied and undeposited items are reported rather than netted, because both carry consequences for the closing balance sheet. In the event,, where a normalization depends on an assumption about future negotiation, the reviewer declines the adjustment and discloses the exposure instead. On the documents,, the engagement is analytical and evidence-based rather than an audit, a review or an examination, and no opinion or assurance conclusion is expressed on any period or balance.

Against the ledger, the receipt banked 2026-05-14 for $468,720 was traced to INV-8938. By reference,, hardware invoice settled in full on contractual terms. After matching against hardware invoice settled, the applied amount agrees at $468,720 with no variance. On hardware invoice settled, the reviewer confirmed the posting date agrees with the bank value date. Against hardware invoice settled, the reviewer confirmed that the same item does not also appear on the net debt schedule. Short payment pending is the recorded cause on a receipt of $164,300 banked on 2026-05-21 and matched to INV-8944, INV-8947. For short payment pending on matching, the applied amount was $165,480, a variance of $1,180. On the record,, short payment pending resolution of a duplicated spares charge. Against short payment pending, the reviewer recorded the alternative treatment so that a reader can substitute it if the assumption is rejected. Both the bank entry and the ledger posting were inspected. On the documents, the reviewer followed a receipt of $486,240 banked on 2026-01-14 against INV-8814, INV-8817, where the applied amount agrees at $486,240 with no variance. As matters stand,, full match; remittance advice identified both invoices. On full match; remittance, the receipt was traced from the bank statement to the cash book and then to the customer account. Against full match; remittance, the conclusion is stated at the low end of the supportable range, as the file convention requires.

Full match; subscription is the recorded cause on a receipt of $92,180 banked on 2026-05-06 and matched to INV-8931. For full match; subscription on matching, the applied amount agrees at $92,180 with no variance. As to the facts,, full match; subscription invoice settled by direct debit. Against full match; subscription, the item was selected for testing because of its characteristics rather than its size. Both the bank entry and the ledger posting were inspected. Against the ledger, the receipt banked 2026-03-05 for $184,760 was traced to INV-8872, INV-8875. On a second read,, full match; both invoices relate to the same site. After matching against full match; both, the applied amount agrees at $184,760 with no variance. On full match; both, the reviewer confirmed the posting date agrees with the bank value date. Against full match; both, the workpaper reference and the preparer's initials are recorded in the index so the step can be reperformed. Milestone payment matched is the recorded cause on a receipt of $512,900 banked on 2026-02-26 and matched to INV-8861. For milestone payment matched on matching, the applied amount agrees at $512,900 with no variance. Per the workpaper,, milestone payment matched to a single invoice with the customer's purchase order reference. Against milestone payment matched, the reviewer recorded that no comparable item was found in the two earlier periods examined. Both the bank entry and the ledger posting were inspected.

Full match; the is the recorded cause on a receipt of $342,180 banked on 2026-01-30 and matched to INV-8836. For full match; the on matching, the applied amount agrees at $342,180 with no variance. On the substance,, full match; the receipt cleared two days after the invoice due date. Against full match; the, the item is retained in the file even though it does not change the conclusion, so the trail remains complete. Both the bank entry and the ledger posting were inspected. Withholding applied by is the recorded cause on a receipt of $214,680 banked on 2026-06-18 and matched to INV-8974. For withholding applied by on matching, the applied amount was $216,200, a variance of $1,520. In sequence,, withholding applied by the customer's shared service centre and recovered in July. Against withholding applied by, the item was projected across the population on the basis stated in the accompanying schedule. Both the bank entry and the ledger posting were inspected. Receipt from a is the recorded cause on a receipt of $38,600 banked on 2026-05-29 and matched to Unapplied. For receipt from a on matching, no invoice was applied against it, so the whole $38,600 sat outside trade receivables. On a second read,, receipt from a customer with no open invoice; identified as a prepayment

for a July 2026 milestone. Against receipt from a, because the item straddles two reporting periods it appears in the trend analysis twice, once in each direction. Both the bank entry and the ledger posting were inspected.

Read narrowly, the receipt banked 2026-03-19 for $348,620 was traced to INV-8884. On a second read,, bank charges deducted by the paying bank rather than an invoice dispute. After matching against bank charges deducted, the applied amount was $346,980, a variance of $1,640. On bank charges deducted, the reviewer confirmed the posting date agrees with the bank value date. Against bank charges deducted, the item is presented gross so that a reader can rebuild the measure from reported results. As to the facts, the receipt banked 2026-03-11 for $74,500 was traced to Unapplied. In the event,, deposit received before invoicing; held as a customer deposit at the reviewer's request. After matching against deposit received before, no invoice was applied against it, so the whole $74,500 sat outside trade receivables. On deposit received before, the reviewer confirmed the posting date agrees with the bank value date. Against deposit received before, the amount was agreed to the underlying system extract without a residual difference. From the extract, the sample includes a receipt of $624,180 banked on 2026-04-08 against INV-8896, INV-8901, where the applied amount agrees at $624,180 with no variance. By reference,, full match; the remittance advice reconciles line by line. On full match; the, the receipt was traced from the bank statement to the cash book and then to the customer account. Against full match; the, the document inspected is dated before the cut-off, which is what makes the period attribution defensible.

Schedule 16.1 - Proof of cash receipts

Receipt date	Bank amount ($)	Matched invoices	Applied ($)	Variance ($)	Cause
2026-01-22	142,680	INV-8829	143,180	(500)	Customer withheld a disputed freight charge which was credited in February
2026-01-30	342,180	INV-8836	342,180	0	Full match; the receipt cleared two days after the invoice due date.
2026-02-03	268,450	INV-8841, INV-8842, INV-8846	268,450	0	Full match against a consolidated remittance.
2026-02-11	26,840	INV-8848	26,840	0	Small subscription invoice settled by card and matched automatically.
2026-02-17	96,320	INV-8853	98,640	(2,320)	Early settlement discount taken outside the contractual terms; the differe
2026-02-26	512,900	INV-8861	512,900	0	Milestone payment matched to a single invoice with the customer's purchase
2026-03-11	74,500	Unapplied	0	74,500	Deposit received before invoicing; held as a customer deposit at the revie
2026-03-27	53,400	INV-8791 (settled)	0	53,400	Overpayment applied to a settled invoice and released to revenue; reversed
2026-04-08	624,180	INV-8896, INV-8901	624,180	0	Full match; the remittance advice reconciles line by line.
2026-04-15	118,940	INV-8912	121,600	(2,660)	Service credit applied by the customer before the credit memo was issued.
2026-04-23	286,500	INV-8919, INV-8923	286,500	0	Full match against two milestone invoices for the same facility.
2026-04-30	186,920	INV-8927, INV-8929	188,400	(1,480)	Customer deducted a rebate accrued under a volume

Receipt date	Bank amount ($)	Matched invoices	Applied ($)	Variance ($)	Cause
					arrangement not recorded
2026-05-21	164,300	INV-8944, INV-8947	165,480	(1,180)	Short payment pending resolution of a duplicated spares charge.
2026-06-04	742,860	INV-8956, INV-8958, INV-8961	742,860	0	Largest single receipt in the sample; matched across three invoices.
2026-06-11	128,400	INV-8968	128,400	0	Full match; the customer's remittance references the contract number.
2026-06-18	214,680	INV-8974	216,200	(1,520)	Withholding applied by the customer's shared service centre and recovered
2026-06-25	96,540	INV-8981, INV-8983	96,540	0	Full match against two subscription invoices.
2026-06-30	68,400	Undeposited	68,400	0	Cheques received and recorded on the last day but not deposited until July

3. Whether cost sits in the period it was incurred

The pattern of exceptions here points to a single cause, and the reviewer reports the cause alongside the individual items so the projection can be understood. On the papers,, the reviewer worked from the statutory ledger throughout; where management's own adjustments had been posted into the ledger they were reversed before analysis rather than accepted as reported. On the record,, management represented that installation activity alone does not create a state filing obligation, relying on an adviser's opinion whose scope has not yet been compared with the states involved.

On this point, testing selected AP-4611, Meridian Insurance Brokers, for $31,200 covering Annual policy and invoiced 2026-04-22. On any view,, a premium refund was credited to expense rather than deferred across the replacement policy term. The ledger records the cost in March 2026. For Meridian Insurance Brokers in Annual policy, the amount is in the right period but the wrong caption, and the reclassification was made in the analysis. On Meridian Insurance Brokers, the workpaper reference and the preparer's initials are recorded in the index so the step can be reperformed. By agreement, for Brightline Cloud the reviewer tested AP-4491 at $118,600, posted in December 2025. At the cut-off,, the accrual reflects the metered usage report including the migration overlap period. The service period is December 2025 against an invoice dated 2026-01-02. For Brightline Cloud in December 2025, the period recorded matches the service period and no adjustment arises. On Brightline Cloud, the reviewer noted the item for the closing meeting agenda because the seller had not seen the analysis before fieldwork. Per the workpaper, fieldwork tested AP-4402, Corvid Metalworks, for $58,300 covering December 2025 and invoiced 2026-01-08. On a second read,, the December goods receipt was accrued from the receiving log, which the reviewer confirmed is now the source for the accrual. The ledger records the cost in December 2025. For Corvid Metalworks in December 2025, the period recorded matches the service period and no adjustment arises. On Corvid Metalworks, the conclusion is stated at the low end of the supportable range, as the file convention requires.

Against the ledger, for Lattimer Legal LLP the reviewer tested AP-4344 at $50,000, posted in September 2025. Per the workpaper,, a round accrual was raised without an invoice; counsel's later statement differed by an immaterial amount left uncorrected. The service period is August-September 2025 against an invoice dated 2025-10-20. For Lattimer Legal LLP in August-September 2025, the amount rests on an estimate rather than an invoice, and the estimate was corroborated during fieldwork. On Lattimer Legal LLP, the file records the question asked, the answer given and the document that settled it. AP-4744 relates to Ashgrove Facilities and covers June 2026 at $14,620. In sequence,, the standing service schedule supports the accrual and no variance arose on invoice. On Ashgrove Facilities, a small residual difference remains and is reported rather than described as immaterial and omitted. For Ashgrove Facilities in June 2026, the period recorded matches the service period and no adjustment arises. The invoice is dated 2026-07-02 and the amount posted in June 2026. In substance, the sample carries AP-4261, Brightline Cloud, for $96,400 covering September 2025

and invoiced 2025-10-01. On this point,, hosting is billed monthly in arrears and the accrual matches the metered usage report for the period. The ledger records the cost in September 2025. For Brightline Cloud in September 2025, the period recorded matches the service period and no adjustment arises. On Brightline Cloud, the item was selected for testing because of its characteristics rather than its size.

Per the index, the reviewer examined AP-4644, Corvid Metalworks, for $64,800 covering June 2026 and invoiced 2026-07-07. On the source,, the June receipt was accrued from the receiving log and agrees to the vendor statement. The ledger records the cost in June 2026. For Corvid Metalworks in June 2026, the period recorded matches the service period and no adjustment arises. On Corvid Metalworks, the explanation offered was plausible and was still corroborated against a document before being accepted. AP-4465 relates to Northline Customs Brokers and covers December 2025 at $21,480. Read narrowly,, brokerage on a December import entry was recorded in January; the entry date establishes the service period. On Northline Customs Brokers, the workpaper reference and the preparer's initials are recorded in the index so the step can be reperformed. For Northline Customs Brokers in December 2025, cost belonging to the earlier period was recorded later, so the earlier period is understated. The invoice is dated 2026-01-12 and the amount posted in January 2026. AP-4438 relates to Wetherby Freight Services and covers December 2025 at $27,315. In sequence,, the duplicated November freight accrual reversed here, so December cost is understated and November overstated. On Wetherby Freight Services, the workpaper reference and the preparer's initials are recorded in the index so the step can be reperformed. For Wetherby Freight Services in December 2025, the reversal of an earlier duplication lands here, so this period is overstated and the earlier one understated. The invoice is dated 2026-01-05 and the amount posted in December 2025.

AP-4558 relates to Halloran Electrical and covers March 2026 at $32,400. On the merits,, panel work completed in March was invoiced in April and not accrued; the work order supports the earlier period. On Halloran Electrical, the direction of this item is unfavourable to the seller and it is reported on the same basis as the favourable items. For Halloran Electrical in March 2026, cost belonging to the earlier period was recorded later, so the earlier period is understated. The invoice is dated 2026-04-14 and the amount posted in April 2026. On the documents, the reviewer traced AP-4371, Ashgrove Facilities, for $12,840 covering September 2025 and invoiced 2025-10-03. In detail,, cleaning and facilities charges are recurring and were accrued from the standing service schedule. The ledger records the cost in September 2025. For Ashgrove Facilities in September 2025, the period recorded matches the service period and no adjustment arises. On Ashgrove Facilities, the workpaper reference and the preparer's initials are recorded in the index so the step can be reperformed. In substance, for Larkspur Controls Sellers the reviewer tested AP-4583 at $486,500, posted in March 2026. On inspection,, the instalment falling due in January 2027 is recorded at its contractual amount with no discounting applied. The service period is Deferred consideration against an invoice dated 2026-04-01. For Larkspur Controls Sellers in Deferred consideration, the period recorded matches the service period and no adjustment arises. On Larkspur Controls Sellers, the item was projected across the population on the basis stated in the accompanying schedule.

Schedule 16.2 - Bank reconciliation items

Item	Per bank ($)	Per ledger ($)	Difference ($)	Type	Clearing
2025-07 Outstanding cheque	448,551	429,483	19,068	Outstanding cheque	Cleared in the following month
2026-06 Deposit in transit	312,188	327,296	(15,108)	Deposit in transit	Written off as unidentifiable
2025-11 Direct debit not recorded	14,551	26,122	(11,571)	Direct debit not recorded	Cleared within five business days
2025-12 Bank charge not recorded	409,430	386,303	23,127	Bank charge not recorded	Cleared after the cut-off
2025-04 Deposit in transit	230,441	250,215	(19,774)	Deposit in transit	Cleared after the cut-off
2026-03 Interest credit not recorded	142,222	150,899	(8,677)	Interest credit not recorded	Cleared after the cut-off
2024-05 Bank charge not recorded	349,262	348,736	526	Bank charge not recorded	Cleared after the cut-off
2024-03 Ledger posting error	230,793	209,853	20,940	Ledger posting error	Cleared within five business days
2025-10 Customer receipt unapplied	217,656	238,706	(21,050)	Customer receipt unapplied	Cleared in the following month
2026-02 Outstanding cheque	146,664	149,235	(2,571)	Outstanding cheque	Cleared within five business days
2025-11 Bank charge not recorded	210,885	220,179	(9,294)	Bank charge not recorded	Cleared after the cut-off

Item	Per bank ($)	Per ledger ($)	Difference ($)	Type	Clearing
2024-07 Interest credit not recorded	410,802	421,335	(10,533)	Interest credit not recorded	Still open at the date of this file
2024-02 Customer receipt unapplied	281,395	300,148	(18,753)	Customer receipt unapplied	Cleared after the cut-off
2025-04 Customer receipt unapplied	342,147	342,612	(465)	Customer receipt unapplied	Written off as unidentifiable
2026-05 Direct debit not recorded	174,373	175,214	(841)	Direct debit not recorded	Cleared within five business days
2024-05 Outstanding cheque	215,014	195,863	19,151	Outstanding cheque	Cleared in the following month
2025-02 Outstanding cheque	328,744	323,421	5,323	Outstanding cheque	Still open at the date of this file
2024-12 Returned payment	56,480	39,200	17,280	Returned payment	Cleared within five business days
2024-08 Bank charge not recorded	271,214	249,209	22,005	Bank charge not recorded	Still open at the date of this file
2025-07 Direct debit not recorded	35,053	21,353	13,700	Direct debit not recorded	Written off as unidentifiable
2024-09 Outstanding cheque	210,670	207,927	2,743	Outstanding cheque	Cleared in the following month
2026-02 Bank charge not recorded	215,016	202,859	12,157	Bank charge not recorded	Cleared in the following month

4. Testing population, selection basis and results

The sample was drawn from the full recorded revenue population for the period rather than from a management-prepared listing, and the selection basis is stated so it can be criticised. On the merits,, accruals were historically raised from invoices rather than from receiving and shipping records, which is the direct cause of the cutoff errors identified. On the papers,, management represented that intercompany settlement with the Ontario entity is unrestricted, while the settlement history shows a consistent six-week lag.

In this stream, a further sample item, RS-013, the pilot fee credited on conversion obligation under HC-2081, recognized in 2025-09 and tested against 2025-11. In detail,, the pilot fee was recognized on invoice eleven weeks before the service window opened, and the conversion was documented as a new contract rather than a modification. For pilot fee credited on conversion the exception is classified as timing with an amount effect of $62,900. On pilot fee credited on, the reviewer notes that management agreed the facts while reserving its position on the treatment. Per the index, the reviewer reperformed RS-028, the deployment fee invoiced in advance obligation under HC-2156, not yet recognized at the cut-off and tested against 2026-06. On any view,, no performance had occurred by the cut-off and the entire invoice sits in deferred revenue, which was traced into the closing rollforward. No exception was recorded. On deployment fee invoiced in, the evidence file for this item includes an email chain that fixes the date on which the parties agreed. As matters stand, under HC-2139 the hardware after customer acceptance test obligation was recognized in 2026-05. In the event,, the acceptance test delayed transfer by five weeks and the delay was correctly reflected, which evidences that the acceptance control operates. No exception was recorded. The workpaper for hardware after customer acceptance test is RS-025, tested against 2026-05. On hardware after customer acceptance, the item was tested twice, once in the revenue stream and once in the balance sheet stream, with the same result.

RS-007 covers platform fee on HC-2058. Per the register,, the pilot fee was recognized ratably over the pilot term, which is consistent with the loan-basis hardware arrangement. On platform fee, this is one of the items the seller's adviser has indicated it will contest at the closing meeting. The platform fee amount was recognized in 2024-11 and tested against 2024-11. No exception was recorded. Against the ledger, under HC-2127 the channel partner referral fee obligation was recognized in 2026-03. In review,, the company is not the principal for the partner-delivered deployment work, and only the referral fee is recorded. No exception was recorded. The workpaper for channel partner referral fee is RS-023, tested against 2026-03. On channel partner referral fee, the conclusion rests on a document produced by a third party rather than by the company. On the evidence, under HC-2052 the hardware - site three obligation was recognized in 2026-01. Read narrowly,, the acceptance certificate is undated and the installer's log shows completion in the final week of December, one month before revenue was recorded. For hardware - site three the exception is classified as timing with an amount effect of $142,600. The workpaper for hardware - site three is RS-005, tested against 2025-12. On hardware site three, the reviewer compared the item with the equivalent balance in the prior period before reaching a view.

In sequence, under HC-2063 the onboarding and operator training obligation was recognized in 2025-01. By reference,, training delivery was evidenced by attendance sheets for three sessions falling inside the recorded month. No exception was recorded. The workpaper for onboarding and operator training is RS-008, tested against 2025-01. On onboarding and operator training, the reviewer recorded that no comparable item was found in the two earlier periods examined. RS-012 covers service level credit accrual on HC-2074. On testing,, credits earned under the August 2025 service level commitment were recorded when the credit memo issued rather than in the months the shortfall occurred. On service level credit accrual, the item is cross-referenced to the corresponding entry in the information request register. The service level credit accrual amount was recognized in 2025-11 and tested against 2025-09. For service level credit accrual the exception is classified as variable consideration with an amount effect of $46,200. On testing, under HC-2069 the extended warranty obligation was recognized in 2026-02. In review,, the twelve-month warranty extension added by amendment was not evaluated as a separate performance obligation; management asserted immateriality without quantifying it. For extended warranty the exception is classified as judgment, and no amount effect could be quantified from the available support. The workpaper for extended warranty is RS-010, tested against 2026-02. On extended warranty, the reviewer noted that the treatment adopted here must be applied consistently to the comparable item elsewhere in the file.

On a second read, testing covered RS-019, the hardware on delivery obligation under HC-2104, recognized in 2025-09 and tested against 2025-09. In this stream,, because installation is performed by the customer's contractor, transfer occurs on delivery; the delivery receipt supports the recorded date. No exception was recorded. On hardware on delivery, the reviewer noted the item for the closing meeting agenda because the seller had not seen the analysis before fieldwork. On the merits, under HC-2133 the training session four obligation was recognized in 2026-06. On the record,, the fourth training session added by the May 2026 amendment had not been delivered at the cut-off although the full fee had been recognized. For training session four the exception is classified as completeness with an amount effect of $18,600. The workpaper for training session four is RS-024, tested against an obligation still undelivered at the cut-off. On training session four, the reviewer left the amount unchanged after review but strengthened the evidence reference. RS-006 covers deployment milestone three on HC-2052. Against the ledger,, the milestone definition, the customer sign-off and the invoice all agree, and the amount allocated matches the contract schedule. On deployment milestone three, the document inspected is dated before the cut-off, which is what makes the period attribution defensible. The deployment milestone three amount was recognized in 2026-02 and tested against 2026-02. No exception was recorded.

Schedule 16.3 - Unbilled receivables and deposits by milestone

Contract / customer	Milestone	Unbilled ($)	Deposit held ($)	Billing trigger	Expected billing	Risk note
HC-2121 / Redbank Distribution	Hardware delivered to site	162,626	127,900	Completion of the stabilization window	2026-07	Ageing beyond ninety days without billing
HC-2168 / Ashcombe Beverage Dist	Operator training delivered	318,728	104,976	Completion of the stabilization window	2026-09	Milestone certificate not yet countersigned
HC-2074 / Granite Peak Distribut	Site survey accepted	112,450	127,252	Customer sign-off on the milestone certificate	2026-09	No risk identified; routine timing
HC-2162 / Zephyr Retail Logistic	Site survey accepted	184,866	76,194	Completion of the stabilization window	2026-09	Trigger depends on a customer-controlled test
HC-2150 / Westbourne Grocery	Operator training delivered	289,384	63,902	Acceptance test certificate	2026-08	Ageing beyond ninety days without billing
HC-2092 / Meridian Cold Chain	Layout simulation delivered	277,213	111,827	Elapsed time from go-live	Awaiting sign-off	No risk identified; routine timing
HC-2098 / Northfield Grocers	Thirty-day stabilization complete	32,126	124,654	Acceptance test certificate	2026-09	No risk identified; routine timing
HC-2081 / Harborline Systems	Customer acceptance test passed	123,975	76,384	Elapsed time from go-live	2026-09	Trigger depends on a customer-controlled test
HC-2052 / Crestline Fulfillment	Operator training delivered	188,337	24,455	Customer sign-off on the milestone certificate	2026-10	Milestone certificate not yet countersigned

Contract / customer	Milestone	Unbilled ($)	Deposit held ($)	Billing trigger	Expected billing	Risk note
HC-2109 / Pinecrest Retail Servi	Go-live confirmed	267,881	77,244	Issue of the quarterly subscription invoice	2026-10	No risk identified; routine timing
HC-2081 / Harborline Systems	Customer acceptance test passed	276,212	129,552	Customer sign-off on the milestone certificate	2026-07	Deposit exceeds work performed to date
HC-2109 / Pinecrest Retail Servi	Installation complete	180,299	51,644	Acceptance test certificate	2026-08	No risk identified; routine timing
HC-2092 / Meridian Cold Chain	Hardware delivered to site	348,996	76,751	Delivery receipt countersigned at site	Awaiting sign-off	No risk identified; routine timing
HC-2074 / Granite Peak Distribut	Layout simulation delivered	223,558	115,472	Delivery receipt countersigned at site	2026-08	Billing blocked pending an amendment
HC-2115 / Quarrybrook Fulfilment	Hardware delivered to site	298,109	32,814	Customer sign-off on the milestone certificate	2026-08	No risk identified; routine timing
HC-2081 / Harborline Systems	Final handover signed	194,988	24,184	Delivery receipt countersigned at site	2026-09	Trigger depends on a customer-controlled test
HC-2104 / Oakhurst Parts Group	Site survey accepted	373,712	46,893	Delivery receipt countersigned at site	Awaiting sign-off	Deposit exceeds work performed to date
HC-2041 / Asterion Logistics	Go-live confirmed	228,824	40,228	Customer sign-off on the milestone certificate	Awaiting sign-off	Milestone certificate not yet countersigned
HC-2074 / Granite Peak Distribut	Site survey accepted	337,330	18,971	Acceptance test certificate	2026-10	Trigger depends on a customer-controlled test
HC-2109 / Pinecrest Retail Servi	Thirty-day stabilization complete	194,993	15,372	Delivery receipt countersigned at site	2026-08	Ageing beyond ninety days without billing
HC-2144 / Vantage Cold Storage	Layout simulation delivered	215,098	67,507	Delivery receipt countersigned at site	2026-07	No risk identified; routine timing
HC-2092 / Meridian Cold Chain	Final handover signed	240,981	44,721	Delivery receipt countersigned at site	2026-10	Deposit exceeds work performed to date
HC-2139 / Umberland Freight	Thirty-day stabilization complete	43,054	17,188	Acceptance test certificate	2026-10	No risk identified; routine timing
HC-2069 / Fathom Mobility	Customer acceptance test passed	201,215	110,103	Elapsed time from go-live	2026-07	Ageing beyond ninety days without billing
HC-2081 / Harborline Systems	Final handover signed	383,517	37,236	Issue of the quarterly subscription invoice	2026-07	Billing blocked pending an amendment
HC-2139 / Umberland Freight	Thirty-day stabilization complete	230,315	102,975	Delivery receipt countersigned at site	2026-10	Trigger depends on a customer-controlled test

5. General ledger exception testing

Every exception carries a disposition, because an exception log without dispositions tells a reader nothing about whether the numbers are wrong. In this stream,, contract amendments are stored in a shared drive without a register, so the reviewer built the amendment population from the contract files themselves. By reference,, access to post revenue journals extended beyond the accounting team until access rights were narrowed in July 2025.

JE-26-0163 is a pro forma entry in the ledger of $92,400 posted on 2026-02-27. In the file,, a contractor conversion saving was posted into the management ledger rather than being kept as a memo adjustment. On this pro forma entry in, the reviewer noted the item for the closing meeting agenda because the seller had not seen the analysis before fieldwork. This pro forma entry in the ledger was prepared by T. Vasquez and approved by M. Okonjo. The entry was reversed for statutory reporting; the reviewer works from the statutory ledger throughout. On the balance, a further exception, JE-26-

0248, posted 2026-03-31 by M. Okonjo approved by T. Vasquez, for $53,400 and classified as a misapplied cash receipt. In the event,, an Evergreen overpayment was applied to a settled invoice and released to revenue. The reviewer reversed the release and treated the balance as a customer credit owed. On this misapplied cash receipt, the reviewer left the amount unchanged after review but strengthened the evidence reference. JE-25-0517 is a entry by an unexpected preparer of $62,400 posted on 2025-05-30. On the source,, a revenue entry was prepared by a member of the sales operations team rather than the accounting team. On this entry by an unexpected, the reviewer asked for the underlying system report and worked from that rather than from the extract provided. This entry by an unexpected preparer was prepared by L. Brantley and approved by M. Okonjo. The entry was correct, but preparer access rights were reviewed and narrowed in July 2025.

Per the workpaper, a round-dollar entry of $57,450 appears as JE-25-1046 on 2025-10-31. Per the register,, a round software subscription accrual was posted while two overlapping licences were being reconciled. The accrual was replaced by invoiced amounts in November 2025 with a small residual credit. For this round-dollar entry the preparer was T. Vasquez, approved by M. Okonjo. On this round-dollar entry, the item is presented gross so that a reader can rebuild the measure from reported results. JE-26-0207 is a credit to expense of $31,200 posted on 2026-03-02. In detail,, a cargo insurance premium refund was credited to insurance expense rather than being deferred over the replacement policy. On this credit to expense, the supporting analysis was rebuilt from source rather than reviewed, because the calculation drives an adjustment. This credit to expense was prepared by L. Brantley and approved by M. Okonjo. For this credit to expense, no further procedures were considered necessary once the source document had been inspected. JE-26-0563 is a self-approved entry of $121,000 posted on 2026-06-30. On the documents,, the hosting savings memo adjustment was posted into the management ledger by its own preparer. On this self-approved entry, the conclusion rests on a document produced by a third party rather than by the company. This self-approved entry was prepared by R. Calloway and approved by R. Calloway. Removed from the statutory view; the contractual portion of the saving is carried on the adjustment schedule instead.

On inspection, a early revenue recognition of $62,900 appears as JE-25-0605 on 2025-06-13. On the papers,, a pilot fee was recognized on invoice eleven weeks before the pilot service window opened. For this early revenue recognition, the reviewer declined to net this item against another with an opposite direction in the same period. For this early revenue recognition the preparer was T. Vasquez, approved by M. Okonjo. On this early revenue recognition, the conclusion rests on a document produced by a third party rather than by the company. In the file, the reviewer selected JE-25-0822, posted 2025-08-29 by R. Calloway approved by R. Calloway, for $186,400 and classified as a self-approved entry. On the papers,, the severance accrual for the departing operations leader was prepared and approved by the same person. For this self-approved entry, the reviewer checked whether the same condition arises in the other periods reviewed and reported the result. On this self-approved entry, the conclusion would change if the missing supporting document is later produced in a different form. From the extract, a capitalization entry of $213,800 appears as JE-25-0311 on 2025-03-31. In detail,, deployment crew labour was moved from cost of sales to internal-use software in a single quarter-end entry. The reviewer reversed the entry in its analysis; management has since changed the coding rule at source. For this capitalization entry the preparer was M. Okonjo, approved by T. Vasquez. On this capitalization entry, the item was selected for testing because of its characteristics rather than its size.

Per the register, a post-close adjustment of $48,300 appears as JE-26-0561 on 2026-06-30. On the evidence,, the warranty accrual was increased after the close was declared complete, following the reviewer's failure-rate analysis. The entry reflects an agreed correction; the amount differs from the reviewer's first estimate and the lower figure was adopted. For this post-close adjustment the preparer was External adviser, approved by M. Okonjo. On this post-close adjustment, this is one of the items the seller's adviser has indicated it will contest at the closing meeting. JE-26-0291 is a interim staffing accrual of $34,000 posted on 2026-03-27. On this point,, the final month of the interim finance engagement was accrued at a rate different from the engagement letter. On this interim staffing accrual, this item is one of the few in the file where the seller's and the reviewer's figures agree exactly. This interim staffing accrual was prepared by L. Brantley and approved by M. Okonjo. For this interim staffing accrual, the reviewer left the amount unchanged after review but strengthened the evidence reference. On reperformance, the journal population produced JE-24-0759, posted 2024-08-30 by T. Vasquez approved by M. Okonjo, for $43,200 and classified as a related-party entry. Per the workpaper,, sublease rent to a founder-owned property entity was posted at a rate above comparable industrial space. Two broker opinions were obtained; the lower opinion was used to size the normalization. On this related-party entry, the reviewer asked for the underlying system report and worked from that rather than from the extract provided.

6. Unbilled amounts, deposits and the working capital they create

The reviewer traced the working capital consequences of each sampled contract because the peg cannot be defended without knowing what causes the seasonality. On the substance,, interim balances at 2026-06-30 have not been subject to a physical inventory count observed by the reviewer; the June count sheets were requested and only partially provided. In sequence,, management represented that the capitalized configuration work created a lasting integration component; the ticket detail supports this for part of the amount only.

In review, Oakhurst Parts Group contracted under HC-2104 on 2025-08-29. Per the register,, across Oakhurst Parts Group, reperformance used the contractual rate rather than the rate management had applied. Hardware transfers on delivery with installation by the customer's own contractor, so the deployment obligation is limited to remote commissioning support. On Oakhurst Parts Group, the reviewer recorded the amount as computed rather than as rounded, so the schedule footings agree. Commercially Oakhurst Parts Group carries contracted hardware of $1,142,800, annual subscription value of $596,400 and a deployment fee of $158,500 over 30 months. For Oakhurst Parts Group, the reviewer confirmed the amount does not also sit within the working capital peg. Under Oakhurst Parts Group, the amount was agreed to the underlying system extract without a residual difference. HC-2121 (Redbank Distribution) runs 48 months from 2025-11-14. In review,, hardware in two tranches, a subscription with a committed minimum, and a deployment obligation with liquidated damages for late go-live. Under Redbank Distribution, the reviewer noted that the treatment adopted here must be applied consistently to the comparable item elsewhere in the file. Redbank Distribution carries contracted hardware of $2,398,400, annual subscription value of $1,186,500 and a deployment fee of $342,500 across the contracted term. A April 2026 amendment reset the go-live date and waived accrued liquidated damages in exchange for a term extension. For Redbank Distribution, the item was projected across the population on the basis stated in the accompanying schedule. In the file, the obligation analysis covers HC-2098 with Northfield Grocers, signed 2025-07-11 for 24 months and carrying contracted hardware of $764,300, annual subscription value of $412,600 and a deployment fee of $108,000. In this stream,, two stores take a compact picking cell each, on a bundled monthly fee with no separate hardware invoice. On Northfield Grocers, the workpaper reference and the preparer's initials are recorded in the index so the step can be reperformed. For Northfield Grocers, the reviewer recorded the inquiry response and the name of the respondent alongside the document reference. Under Northfield Grocers, the item is presented gross so that a reader can rebuild the measure from reported results.

HC-2081 (Harborline Systems) runs 18 months from 2025-03-08. On reperformance,, a proof-of-concept converted to a production contract, with the original pilot fee credited against the first production invoice. Under Harborline Systems, the conclusion is stated at the low end of the supportable range, as the file convention requires. Harborline Systems carries contracted hardware of $486,900, annual subscription value of $264,000 and a deployment fee of $74,500 across the contracted term. The conversion in November 2025 was documented as a new contract rather than a modification, which changes how the credited pilot fee is treated. Pilot fees were recognized on invoice eleven weeks before the service window began, which the reviewer adjusted. On reperformance, Fathom Mobility contracted under HC-2069 on 2024-11-21. In detail,, one retrofit site with hardware transferring in two tranches, a subscription that begins at first tranche go-live, and an integration obligation delivered by a subcontractor. On Fathom Mobility, the explanation offered was plausible and was still corroborated against a document before being accepted. Commercially Fathom Mobility carries contracted hardware of $918,500, annual subscription value of $486,000 and a deployment fee of $124,000 over 30 months. For Fathom Mobility, the supporting document was produced after two requests and its late arrival is noted in the register. Under Fathom Mobility, the reviewer recorded the inquiry response and the name of the respondent alongside the document reference. In the file, Westbourne Grocery contracted under HC-2150 on 2026-05-19. By agreement,, a short-term contract taken to test a smaller-format cell, with hardware, subscription and a minimal onboarding element. No amendments; the customer has an option to convert to a thirty-six month term at a stated price. Commercially Westbourne Grocery carries contracted hardware of $384,500, annual subscription value of $212,400 and a deployment fee of $54,000 over 18 months. The conversion option was tested and found not to be priced at a discount, so no material right arises. Under Westbourne Grocery, the supporting analysis was rebuilt from source rather than reviewed, because the calculation drives an adjustment.

HC-2173 (Brackenridge Supply) runs 30 months from 2025-02-06. Per the workpaper,, standard three-obligation structure with a twelve-month ramp on the subscription price, so billed and recognized amounts diverge through the ramp.

Under Brackenridge Supply, this item was discussed with the controller on the second day of fieldwork and the explanation is recorded as given. Brackenridge Supply carries contracted hardware of $1,046,700, annual subscription value of $548,300 and a deployment fee of $142,500 across the contracted term. No amendments; the ramp is contractual and creates a difference between billed and recognized subscription revenue in each of the first four quarters. The ramp was tested because it produces a contract asset; the asset balance agrees to the contract but was presented within trade receivables. On the evidence, Ashcombe Beverage Distribution contracted under HC-2168 on 2024-10-30. Per the register,, hardware and subscription with a deployment obligation performed partly by the customer's engineering team under supervision. On Ashcombe Beverage Distribution, the item is retained in the file even though it does not change the conclusion, so the trail remains complete. Commercially Ashcombe Beverage Distribution carries contracted hardware of $1,324,600, annual subscription value of $682,900 and a deployment fee of $178,000 over 36 months. The refund was recorded as a reduction of revenue in the month of payment rather than in the periods the fee had been recognized. Under Ashcombe Beverage Distribution, the item was traced from the summary schedule through the sub-ledger to the source document. HC-2109 (Pinecrest Retail Services) runs 36 months from 2025-09-17. On testing,, three obligations plus an option for additional units at a discount that testing evaluated as a potential material right. Under Pinecrest Retail Services, the evidence file for this item includes an email chain that fixes the date on which the parties agreed. Pinecrest Retail Services carries contracted hardware of $1,684,500, annual subscription value of $824,200 and a deployment fee of $232,000 across the contracted term. The option was partially exercised in April 2026 for nine units at the discounted price. The discount was assessed as a material right; management allocated no consideration to it, and the reviewer left this as an open judgment.

From the extract, Asterion Logistics contracted under HC-2041 on 2024-02-14. On this point,, twenty-eight mobile units transfer on site acceptance, the fleet orchestration subscription runs monthly over the term, and a non-refundable commissioning fee covers eleven weeks of on-site work. A March 2025 amendment added six units at the original unit price and extended the term by nine months without repricing the subscription. Commercially Asterion Logistics carries contracted hardware of $1,842,600, annual subscription value of $964,800 and a deployment fee of $214,000 over 36 months. Testing found the commissioning fee recognized on invoice rather than across the commissioning window, moving cost and revenue into different quarters. Under Asterion Logistics, a second preparer reperformed the arithmetic and reached the same figure to the dollar. HC-2074 (Granite Peak Distribution) runs 36 months from 2025-01-16. In the file,, across Granite Peak Distribution, the direction of this item is unfavourable to the seller and it is reported on the same basis as the favourable items. Three phases of hardware with separate acceptance, a subscription priced per active unit, and a deployment obligation including layout simulation delivered before installation. Under Granite Peak Distribution, the file records the question asked, the answer given and the document that settled it. Granite Peak Distribution carries contracted hardware of $2,746,100, annual subscription value of $1,312,700 and a deployment fee of $386,000 across the contracted term. An August 2025 amendment added a service level commitment with credits, and a May 2026 amendment accelerated phase three. The layout simulation was delivered and billed in advance of installation; testing confirmed it is capable of being distinct and was recognized on delivery. HC-2144 (Vantage Cold Storage) runs 36 months from 2026-04-07. On the documents,, hardware, subscription and a validation obligation similar in structure to the Meridian contract but with a fixed-fee validation. Under Vantage Cold Storage, the conclusion would change if the missing supporting document is later produced in a different form. Vantage Cold Storage carries contracted hardware of $1,368,700, annual subscription value of $704,500 and a deployment fee of $186,500 across the contracted term. On Vantage Cold Storage, this is one of the items the seller's adviser has indicated it will contest at the closing meeting. For Vantage Cold Storage, the evidence was inspected in original form rather than as a management-prepared summary.

Schedule 16.4 - Accrual cutoff test results

Voucher	Vendor	Invoice date	Service period	Amount ($)	Period recorded	Cutoff conclusion
AP-4182	Wetherby Freight Services	2025-10-06	September 2025	42,860	October 2025	Understated
AP-4207	Corvid Metalworks	2025-10-02	September 2025	71,640	October 2025	Understated
AP-4233	Halloran Electrical	2025-10-11	September 2025	18,420	September 2025	Correct
AP-4261	Brightline Cloud	2025-10-01	September 2025	96,400	September 2025	Correct
AP-4288	Sandhill Staffing	2025-10-14	September 2025	34,720	October 2025	Understated
AP-4312	Fremont	2025-10-05	September 2025	24,600	September 2025	Correct

Voucher	Vendor	Invoice date	Service period	Amount ($)	Period recorded	Cutoff conclusion
	Commercial Bank					
AP-4344	Lattimer Legal LLP	2025-10-20	August-September 2025	50,000	September 2025	Estimate
AP-4402	Corvid Metalworks	2026-01-08	December 2025	58,300	December 2025	Correct
AP-4438	Wetherby Freight Services	2026-01-05	December 2025	27,315	December 2025	Overstated
AP-4491	Brightline Cloud	2026-01-02	December 2025	118,600	December 2025	Correct
AP-4522	Sandhill Staffing	2026-04-09	March 2026	46,900	March 2026	Correct
AP-4583	Larkspur Controls Sellers	2026-04-01	Deferred consideration	486,500	March 2026	Correct
AP-4611	Meridian Insurance Brokers	2026-04-22	Annual policy	31,200	March 2026	Reclassification
AP-4644	Corvid Metalworks	2026-07-07	June 2026	64,800	June 2026	Correct
AP-4672	Wetherby Freight Services	2026-07-03	June 2026	38,460	June 2026	Correct
AP-4744	Ashgrove Facilities	2026-07-02	June 2026	14,620	June 2026	Correct
AP-4766	Northline Customs Brokers	2026-07-10	June 2026	26,940	June 2026	Correct

7. Where the record rests on representation rather than evidence

Several conclusions in this file rest in part on what management told the reviewer, and the reviewer distinguishes those from conclusions supported by documents. On testing,, management represented that the retention-contingent portion of the deferred consideration is genuinely contingent, and the retention agreements have only partly been provided. On the balance,, adjustments are presented gross with their direction stated, rather than netted, so that a reader can rebuild the measure from reported results.

On this point,, management represented that the second customer summit is discretionary; the reviewer inspected a signed venue contract dated before the cut-off. As matters stand,, where an exception is identified, the reviewer states the population, the value tested, the coverage achieved and the projected effect before proposing any adjustment. On the evidence,, pro forma items are separated from normalizations so that a reader can adopt one class without accepting the other. At the cut-off, management proposed ADJ-13 at $88,250 for FY2025, described as trade show and customer summit costs. In the event,, management characterizes the inaugural customer summit as a one-time brand investment. Trade show and customer was rejected outright and the reason sits on the schedule itself. Trade show and customer carries a recurrence judgment of non-recurring, and the supporting file is event vendor invoices and the internal event budget reconciliation. On Trade show and customer, the item is cross-referenced to the corresponding entry in the information request register.

On the documents,, no procedures were performed on income taxes beyond identifying the exposures listed, and no view is expressed on the recoverability of any deferred tax balance. In the event,, two months of Ontario subsidiary bank statements were not provided, so cash proof coverage for that entity is materially lower than for the parent and no projection was attempted across the gap. In the file,, recurrence is judged on evidence about the future obligation rather than on whether the cost is unusual, which is why several items management called one-time were rejected. Per the workpaper, diligence proposed ADJ-28 at $88,500 for FY2025, described as supplier recovery on the harness defect. On the papers,, the supplier settled part of the rework campaign cost, and the recovery was credited to cost of sales in the same year the scrap arose. Supplier recovery on the was accepted at $88,500: the reviewer paired the recovery with the scrap add-back so the campaign is presented on a net basis rather than only in the direction that helps. Supplier recovery on the carries a recurrence judgment of non-recurring, and the supporting file is the supplier settlement letter and the credit applied against open payables. On Supplier recovery on the, the evidence was inspected in original form rather than as a management-prepared summary.

On the merits,, management represented that installation activity alone does not create a state filing obligation, relying on an adviser's opinion whose scope has not yet been compared with the states involved. Per the workpaper,, post-cut-off trading was reviewed only to July 2026 and only for evidence bearing on balances at the cut-off; it is not a basis for any forward projection. Per the register,, where a projection of error is made, it rests on the sample basis stated in the

relevant schedule and is presented as a range rather than as a single figure. ADJ-29 concerns sales commission true-up on multi-year bookings and was raised by diligence as a normalization item. Per the register,, commissions on multi-year subscription bookings were expensed when the cash was paid in the following quarter, leaving the period charge short of the bookings it relates to. On Sales commission true-up on, the file records the question asked, the answer given and the document that settled it. Sales commission true-up on is recorded as a deduction of $109,400 in FY2025, evidenced by the commission plan, the bookings register and the commission accrual workpaper. Sales commission true-up on was accepted at $109,400 and the reason sits on the schedule itself.

From the extract,, the billing system and the general ledger are reconciled monthly but the reconciliation was not evidenced by a preparer signature for four of the thirty months. On testing,, coverage of the customer base is complete for the twenty-five largest accounts by revenue and sampled below that level, with the sampling basis stated wherever a projection is made. By agreement,, management represented that the retention-contingent portion of the deferred consideration is genuinely contingent, and the retention agreements have only partly been provided. On any view, diligence proposed ADJ-15 at $71,640 for FY2025, described as unrecorded liability for the september 2025 spares purchase. On testing,, spares received in the last week of September 2025 were not accrued and the invoice posted in October, moving cost out of the period in which the parts were consumed. Unrecorded liability for the was accepted at $71,640: the goods receipt note establishes the service period and the vendor statement confirms the amount. Unrecorded liability for the carries a recurrence judgment of normalization, and the supporting file is the vendor statement reconciliation and the goods receipt note. On Unrecorded liability for the, no projection was made from this item because it arises from a single identifiable event.

Schedule 16.5 - Revenue recognition sample results

Sample	Contract	Invoice	Performance obligation	Recognized period	Tested period	Exception	Amount effect ($)
RS-001	HC-2041	INV-8856	Commissioning services	2025-03	2025-05	Timing	68,400
RS-002	HC-2041	INV-8636	Hardware - six added units	2025-04	2025-04	None	0
RS-005	HC-2052	INV-8914	Hardware - site three	2026-01	2025-12	Timing	142,600
RS-006	HC-2052	INV-8939	Deployment milestone three	2026-02	2026-02	None	0
RS-007	HC-2058	INV-8957	Platform fee	2024-11	2024-11	None	0
RS-008	HC-2063	INV-8766	Onboarding and operator training	2025-01	2025-01	None	0
RS-009	HC-2063	INV-8732	Subscription - unit count reduction	2025-08	2025-07	Timing	34,800
RS-011	HC-2074	INV-8868	Layout simulation	2025-02	2025-02	None	0
RS-015	HC-2086	INV-8896	Spare parts pool	2025-12	2025-12	Allocation	28,400
RS-016	HC-2086	INV-8842	Managed deployment - facility two	2026-05	2026-05	None	0
RS-018	HC-2098	INV-8849	Bundled monthly fee	2025-10	2025-10	Estimate	0
RS-019	HC-2104	INV-8920	Hardware on delivery	2025-09	2025-09	None	0
RS-020	HC-2109	INV-8750	Discounted unit option	2026-04	2026-04	Judgment	0
RS-021	HC-2115	INV-8780	Onboarding - four week programme	2025-11	2025-11	None	0
RS-022	HC-2121	INV-8763	Liquidated damages waiver	2026-04	2025-12	Variable consideration	78,500
RS-023	HC-2127	INV-8938	Channel partner referral fee	2026-03	2026-03	None	0
RS-024	HC-2133	INV-8651	Training session four	2026-06	Undelivered	Completeness	18,600
RS-026	HC-2144	INV-8644	Fixed-fee	2026-06	2026-06	None	0

Sample	Contract	Invoice	Performance obligation	Recognized period	Tested period	Exception	Amount effect ($)
			validation				
RS-028	HC-2156	INV-8851	Deployment fee invoiced in advance	None	2026-06	None	0
RS-029	HC-2162	INV-8615	Hosted analytics module	2026-01	2026-01	Modification	0
RS-031	HC-2173	INV-8635	Subscription ramp - contract asset	2025-06	2025-06	Presentation	0
RS-032	HC-2041	INV-8642	Subscription - term extension	2025-12	2025-12	None	0
RS-035	HC-2086	INV-8878	Annual price escalator	2026-05	2026-05	None	0
RS-036	HC-2063	INV-8705	Customer overpayment applied to revenu	2026-03	None	Completeness	53,400

8. Outstanding requests, owners and unresolved effects

The reviewer has not closed items on the basis of a verbal assurance; an item stays open until the document exists. On the substance,, the review period runs from 2024-01-01 to 2026-06-30, comprising two full financial years and a six-month stub, with the trailing twelve months to June 2026 used as the primary reference period. Taken alone,, amounts are stated in United States dollars, with Canadian dollar balances of the Ontario deployment subsidiary translated at month-end rates taken from the company's own revaluation report.

IR-041 asks for engagement letters for all adviser fees in the period. The request for engagement letters for all was raised on 2026-06-23 with the seller - finance director and the response is partially received, leaving the item open. For engagement letters for all, the explanation offered was plausible and was still corroborated against a document before being accepted. By reference,, two invoices remain unsupported, so the split between transaction and ordinary-course professional fees is provisional. IR-031 asks for standalone selling price analysis for bundled northfield contracts. The request for standalone selling price analysis was raised on 2026-06-20 with the seller - revenue accountant and nothing has been provided, leaving the item open. For standalone selling price analysis, the item is cross-referenced to the corresponding entry in the information request register. In the event,, allocation for the bundled contracts cannot be independently tested, so the revenue split between obligations is unverified. IR-067 asks for supplier settlement letter for the harness rework recovery. The request for supplier settlement letter for was raised on 2026-06-29 with the seller - procurement and material was provided on 2026-07-02, leaving the item closed. For supplier settlement letter for, the file records the question asked, the answer given and the document that settled it. On this point,, the letter confirmed the recovery amount and allowed the campaign to be presented on a net basis.

IR-034 asks for board minutes evidencing the december 2024 bonus decision. The request for board minutes evidencing the was raised on 2026-06-20 with the seller - company secretary and material was provided on 2026-07-08, leaving the item received - insufficient. For board minutes evidencing the, the reviewer left the amount unchanged after review but strengthened the evidence reference. In the event,, the minutes record the decision but not the plan terms, so the reviewer relies on management's representation that the bonus remained available. In sequence, the register carries IR-085, commission plan documents for all sales roles, addressed to the seller - sales operations and requested on 2026-07-01; material was provided on 2026-07-08. The status is recorded as closed. On the documents,, the plans supported the commission true-up and confirmed the accrual basis the reviewer applied. For commission plan documents for, the reviewer confirmed the amount does not also sit within the working capital peg. From the extract, the log shows IR-071, aged unbilled receivable detail with billing triggers, addressed to the seller - project accountant and requested on 2026-06-29; nothing has been provided. The status is recorded as open. In substance,, without billing triggers the reviewer cannot distinguish unbilled amounts awaiting a milestone from those awaiting customer sign-off. For aged unbilled receivable detail, the reviewer confirmed the counterparty is not a related party before accepting the document at face value.

On reperformance, also open is IR-027, billing system extract reconciled to the general ledger by month, addressed to the seller - controller and requested on 2026-06-19; material was provided on 2026-06-27. The status is recorded as closed. In the event,, the extract was reconciled and the residual monthly differences are immaterial and explained. For

billing system extract reconciled, the reviewer confirmed that the same item does not also appear on the net debt schedule. IR-088 asks for analysis of the pinecrest option pricing against list. The request for analysis of the pinecrest was raised on 2026-07-02 with the seller - revenue accountant and nothing has been provided, leaving the item open. For analysis of the pinecrest, the item was traced from the summary schedule through the sub-ledger to the source document. On the merits,, the material right judgment stays open, and any allocation to the option would move revenue between periods. By reference, the seller - controller holds IR-052, bank statements for the ontario subsidiary for the full period, requested 2026-06-25. On the documents,, two months are missing, so cash proof coverage for the subsidiary is below the level applied to the parent. On bank statements for the, as at the date of this file the response is partially received and the item is open. For bank statements for the, the reviewer's supervisor reviewed this conclusion because it rests partly on judgment.

IR-074 asks for pto liability rollforward by employee band. The request for pto liability rollforward by was raised on 2026-06-30 with the seller - hr director and material was provided on 2026-07-10, leaving the item closed. For pto liability rollforward by, the workpaper reference and the preparer's initials are recorded in the index so the step can be reperformed. On its facts,, the rollforward supported both the accrual movement adjustment and the split treatment in net debt. IR-115 asks for vendor statements for the ten largest suppliers. The request for vendor statements for the was raised on 2026-07-07 with the seller - accounts payable and the response is partially received, leaving the item open. For vendor statements for the, reperformance used the contractual rate rather than the rate management had applied. Taken alone,, accrual completeness testing coverage falls below the planned level for three suppliers. IR-096 asks for confirmation of restricted cash release conditions. The request for confirmation of restricted cash was raised on 2026-07-03 with the seller - treasury and the response is received - under review, leaving the item pending. For confirmation of restricted cash, a small residual difference remains and is reported rather than described as immaterial and omitted. In sequence,, if release depends on milestones beyond closing the balance stays outside cash at closing.

Schedule 16.6 - Quarterly seasonality of working capital

Quarter	Site go-lives	Billings ($)	Peak NWC ($)	Trough NWC ($)	Intra-quarter swing ($)	Principal driver
2024-Q1	8	6,625,738	5,327,192	4,798,186	529,006	Inventory build ahead of the following quarter
2024-Q2	8	6,636,679	5,884,547	4,554,126	1,330,421	Hardware shipments concentrated in the final month
2024-Q3	8	6,661,667	6,288,369	5,402,768	885,601	Subscription renewals clustered in the quarter
2024-Q4	12	7,206,257	6,178,430	5,752,150	426,280	Retail freeze delaying go-live dates
2025-Q1	3	4,620,392	6,761,851	6,263,246	498,605	Hardware shipments concentrated in the final month
2025-Q2	9	6,223,883	5,009,626	3,717,389	1,292,237	Subscription renewals clustered in the quarter
2025-Q3	4	5,034,644	6,140,189	5,150,747	989,442	Hardware shipments concentrated in the final month
2025-Q4	3	5,036,916	4,487,763	3,889,434	598,329	Customer capital budgets released early in the quarter
2026-Q1	9	3,551,353	4,756,041	3,723,698	1,032,343	Inventory build ahead of the following quarter
2026-Q2	8	3,594,621	6,602,927	5,984,380	618,547	Customer capital budgets released early in the

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						quarter

9. What remains unverified at the date of this file

The limitations below are stated in the file rather than in a covering letter, because each one attaches to a specific conclusion elsewhere in this document. On inspection,, management represented that installation activity alone does not create a state filing obligation, relying on an adviser's opinion whose scope has not yet been compared with the states involved. On the substance,, warranty accrual rates had not been refreshed since 2023 because no owner was assigned to the review of the underlying assumption.

In the event,, where a projection of error is made, it rests on the sample basis stated in the relevant schedule and is presented as a range rather than as a single figure. In detail,, warranty accrual rates had not been refreshed since 2023 because no owner was assigned to the review of the underlying assumption. By reference,, sampling was stratified by value with full coverage above a stated threshold and a haphazard selection below it, and the threshold is disclosed in the relevant schedule. IR-045 asks for fixed asset additions traced to underlying engineering tickets. The request for fixed asset additions traced was raised on 2026-06-24 with the seller - engineering manager and material was provided on 2026-07-06, leaving the item received - under review. For fixed asset additions traced, the reviewer recorded the amount as computed rather than as rounded, so the schedule footings agree. On the merits,, the capitalization reclassification could change if further tickets support the treatment management applied.

On the evidence,, recurrence is judged on evidence about the future obligation rather than on whether the cost is unusual, which is why several items management called one-time were rejected. In this stream,, ranges are used where evidence supports a range, and the low end of a range is used when the reviewer must choose a single figure for a schedule. On the balance,, accruals were historically raised from invoices rather than from receiving and shipping records, which is the direct cause of the cutoff errors identified. IR-038 asks for warranty claim detail by chassis generation. The request for warranty claim detail by was raised on 2026-06-23 with the seller - service manager and material was provided on 2026-07-01, leaving the item closed. For warranty claim detail by, the item was projected across the population on the basis stated in the accompanying schedule. In this stream,, the detail supported the recalculated accrual rate and the adjustment was agreed at the lower of the two estimates.

Taken alone,, the reviewer worked from the statutory ledger throughout; where management's own adjustments had been posted into the ledger they were reversed before analysis rather than accepted as reported. In this stream,, management represented that the capitalized configuration work created a lasting integration component; the ticket detail supports this for part of the amount only. On the source,, management represented that no undisclosed related-party arrangements exist beyond the sublease and the management fee identified in the ledger. IR-031 asks for standalone selling price analysis for bundled northfield contracts. The request for standalone selling price analysis was raised on 2026-06-20 with the seller - revenue accountant and nothing has been provided, leaving the item open. For standalone selling price analysis, the reviewer compared the item with the equivalent balance in the prior period before reaching a view. On the evidence,, allocation for the bundled contracts cannot be independently tested, so the revenue split between obligations is unverified.

On reperformance,, source data was extracted from the general ledger on 2026-07-02 and from the billing platform on 2026-07-03; extracts taken after those dates were used only to confirm subsequent settlement. By agreement,, contract amendments are stored in a shared drive without a register, so the reviewer built the amendment population from the contract files themselves. In review,, the billing system and the general ledger are reconciled monthly but the reconciliation was not evidenced by a preparer signature for four of the thirty months. In sequence, the seller - tax adviser holds IR-023, state nexus opinion supporting no sales tax filings, requested 2026-06-19. On this point,, the exposure remains a range until the opinion's scope is compared with the states in which field staff worked. On state nexus opinion supporting, as at the date of this file material was provided on 2026-07-02 and the item is received - under review. For state nexus opinion supporting, the document inspected is dated before the cut-off, which is what makes the period attribution defensible.